

FINANCIAL SUMMARY

Rating / target — see Valuation tab

Recommendation	BUY
Fair value / share (₱)	₱27.35
Upside	22.3%

₱000 / FY	2024E	2025E	2026E	2027E
Revenue	36,729,421	40,402,363	43,634,553	46,688,971
EBIT	20,086,551	22,095,206	23,862,822	25,533,220
NOPAT	15,064,913	16,571,404	17,897,117	19,149,915
Free cash flow	(3,468,718)	(1,104,117)	1,782,957	5,087,626
Net income (parent)	13,470,128	14,817,141	16,002,512	17,122,688
EPS (₱)	5.19	5.71	6.16	6.59

ASSUMPTIONS — edit blue cells; the model recomputes

Risk-free rate (PH 10Y)	6.0%
Mature-market ERP	4.6%
Beta (observed)	0.46
Country risk premium	3.0%
Cost of equity (CAPM+CRP)	11.1%
Pre-tax cost of debt	5.7%
Tax rate	25.0%
After-tax cost of debt	4.3%
Equity weight (target)	60.0%
Debt weight (target)	40.0%
WACC	8.4%
Terminal growth	2.5%
EBIT margin	54.7%
D&A % of revenue	13.6%
CapEx % revenue (base)	64.0%
CapEx % revenue (terminal)	30.0%
Δ NWC % of Δrevenue	1.0%
Base revenue FY2024E (₱000)	36,729,421
Base parent net income FY2024E (₱000)	13,470,128
Net margin (parent)	36.7%
Revenue growth 2025	10.0%
Revenue growth 2026	8.0%
Revenue growth 2027	7.0%
Revenue growth 2028	6.0%
Revenue growth 2029	5.0%
Net debt (₱000)	94,514,464
Non-controlling interests (₱000)	1,973,326
Preferred (book, ₱000)	400,000
Common shares outstanding	2,597,094,010
Current price (₱)	₱22.36

THREE-STATEMENT MODEL (P thousands)

P000 / FY	2024E	2025E	2026E	2027E	2028F	2029F
Revenue	36,729,421	40,402,363	43,634,553	46,688,971	49,490,309	51,964,825
EBIT	20,086,551	22,095,206	23,862,822	25,533,220	27,065,213	28,418,474
NOPAT	15,064,913	16,571,404	17,897,117	19,149,915	20,298,910	21,313,855
D&A	4,977,021	5,474,723	5,912,701	6,326,590	6,706,186	7,041,495
CapEx % revenue	64.0%	57.2%	50.4%	43.6%	36.8%	30.0%
CapEx	23,510,652	23,113,516	21,994,539	20,358,335	18,213,464	15,589,447
Δ NWC	0	36,729	32,322	30,544	28,013	24,745
Free cash flow (FCFF)	(3,468,718)	(1,104,117)	1,782,957	5,087,626	8,763,618	12,741,158
Net income (parent)	13,470,128	14,817,141	16,002,512	17,122,688	18,150,049	19,057,552
EPS (P)	5.19	5.71	6.16	6.59	6.99	7.34
EPS growth		10.0%	8.0%	7.0%	6.0%	5.0%

DCF VALUATION

WACC	8.4%
Terminal growth	2.5%

FY		2025E	2026E	2027E	2028F	2029F
Free cash flow		(1,104,117)	1,782,957	5,087,626	8,763,618	12,741,158
Discount factor		0.923	0.851	0.786	0.725	0.669
PV of FCF		(1,018,750)	1,517,909	3,996,433	6,351,748	8,520,620
Σ PV of explicit FCF	19,367,960					
Terminal-year FCF	12,741,158					
Terminal value (Gordon)	222,118,624					
PV of terminal value	148,541,312					
Enterprise value	167,909,272					
Less: net debt	(94,514,464)					
Less: NCI	(1,973,326)					
Less: preferred	(400,000)					
Common equity value	71,021,482					
Common shares	2,597,094,010					
FAIR VALUE / SHARE (₱)	₱27.35					
Current price (₱)	₱22.36					
Upside / (downside)	22.3%					
Recommendation	BUY					

SENSITIVITY — fair value/share (₱)

WACC ↓ / g →	1.5%	2.0%	2.5%	3.0%	3.5%
7.4%	29.77	35.60	42.63	51.26	62.12
7.9%	23.71	28.54	34.27	41.16	49.64
8.4%	18.55	22.60	27.34	32.96	39.73
8.9%	14.10	17.54	21.52	26.17	31.69
9.4%	10.23	13.18	16.55	20.45	25.02

INTERIM RESULTS — income statement (P000, from filing)

	Q3 2024	Q3 2023	9M 2024	9M 2023
Water and used water revenues	8,683,338	7,331,123	26,045,906	21,311,373
Other operating revenues	465,918	346,921	1,363,177	1,619,191
FINANCE INCOME FROM CONTRACT ASSETS	43,613	74,921	137,983	213,636
	9,192,869	7,752,965	27,547,066	23,144,200
Depreciation and amortization	1,161,973	958,371	3,274,208	2,703,583
Power, light and water	606,697	583,914	1,819,059	1,791,680
Salaries, wages and employee benefits	348,337	386,785	1,026,250	960,288
Water treatment chemicals	133,918	102,356	302,219	253,980
Regulatory costs	118,692	96,825	360,164	289,858
Contractual services	116,346	130,462	311,571	519,472
Repairs and maintenance	100,236	110,011	390,275	339,242
Wastewater costs	55,361	43,313	163,281	162,036
Water tankering and bulk water	(46,609)	62,913	150,729	183,378
Collection fees	41,425	41,796	121,415	119,022
Amortization of water service connections	37,265	48,999	132,065	135,767
Other expenses	106,910	68,374	398,691	199,237
	2,780,551	2,634,119	8,449,927	7,657,543
GROSS PROFIT	6,412,318	5,118,846	19,097,139	15,486,657
OPERATING EXPENSES	1,430,382	1,267,584	4,032,226	3,933,620
INCOME BEFORE OTHER INCOME (EXPENSES)	4,981,936	3,851,262	15,064,913	11,553,037
Revenue from rehabilitation works	6,567,710	4,572,085	16,237,206	11,493,301
Cost of rehabilitation works	(6,567,710)	(4,572,085)	(16,237,206)	(11,493,301)
Foreign exchange gains (losses) - net	1,478,636	(645,894)	(590,464)	(401,449)
Foreign currency differentials	(1,452,565)	640,744	870,537	397,255
Interest expense	(902,882)	(913,565)	(2,730,796)	(2,825,693)
Interest income	104,031	79,757	302,165	235,436
Equity share in net income of associates	79,001	113,715	293,909	408,948
Losses on disposal of property and equipment - net	(253)	(1,541)	(83)	(10,882)
Other income (losses) - net	68,164	(1,799)	497,563	346,197
	(625,868)	(728,583)	(1,357,169)	(1,850,188)
INCOME BEFORE INCOME TAX FROM CONTINUING OPER	4,356,068	3,122,679	13,707,744	9,702,849
PROVISION FOR INCOME TAX - NET	1,026,274	817,676	3,217,354	2,178,219
NET INCOME FROM CONTINUING OPERATIONS	3,329,794	2,305,003	10,490,390	7,524,630

NET LOSS FROM DISCONTINUED OPERATIONS	(856)	(9)	(1,319)	(724)
NET INCOME	3,328,938	2,304,994	10,489,071	7,523,906
Cumulative translation adjustment	517,375	225,749	(99,026)	348,164
Gain (loss) on net investment hedge	254,032	(135,153)	(64,831)	(80,693)
Gain on cash flow hedge		666,092		507,977
Cost of hedging		127,537		(325,843)
Income tax effect	(63,508)	(164,620)	16,208	(25,361)
	707,899	719,605	(147,649)	424,244
Actuarial loss on pension liabilities			(48,937)	(38,717)
Equity share in other comprehensive income of an asso	330		4,663	
Income tax effect			12,234	9,679
	330		(32,040)	(29,038)
TOTAL COMPREHENSIVE INCOME	4,037,167	3,024,599	10,309,382	7,919,112
Equity holders of Manila Water Company, Inc.	3,188,029	2,214,267	10,102,596	7,262,138
Noncontrolling interests	140,909	90,727	386,475	261,768
	3,328,938	2,304,994	10,489,071	7,523,906
Equity holders of Manila Water Company, Inc.	3,896,258	2,933,872	9,922,907	7,657,344
Noncontrolling interests	140,909	90,727	386,475	261,768
	4,037,167	3,024,599	10,309,382	7,919,112
Basic	1.08	0.67	3.43	2.21
Diluted	1.08	0.67	3.43	2.21
Basic	1.08	0.67	3.43	2.21
Diluted	1.08	0.67	3.43	2.21

SEGMENTS — Note 15, 9M 2024 (P000, from filing)

	Manila Conc.	Domestic	Foreign	Consol. adj.	Consolidated
Sales to external customers	21,774,720	7,470,249	3,384	(1,839,270)	27,409,083
Finance income from contract assets		137,983			137,983
Costs and expenses (excluding depreciation and a	6,091,672	4,245,541	56,636	(1,644,463)	8,749,386
Depreciation and amortization	3,038,254	720,631	958	(27,077)	3,732,766
Equity share in net income of associates			293,909		293,909
Other income (expenses) - net	(533,970)	(471,283)	3,569	(649,395)	(1,651,079)
Income (loss) before income tax	12,110,824	2,170,777	243,268	(817,125)	13,707,744
Provision for income tax	2,785,490	415,151	506	16,207	3,217,354
Net income (loss) from continuing operations	9,325,334	1,755,626	242,762	(833,332)	10,490,390
Net loss from discontinued operations		(1,319)			(1,319)
Net income (loss)	9,325,334	1,754,307	242,762	(833,332)	10,489,071
Segment assets excluding investment in associate	186,715,025	45,888,061	14,852,941	(35,392,208)	212,063,819
Investment in associates			10,761,891	771,784	11,533,675
Segment liabilities	113,004,376	29,384,270	12,935,986	(9,320,502)	146,004,130

CHARTS

